

Municipal Taxes, User Charges and Licence Fee as Levied in India

I. Municipal Taxes

1. The taxes as specified in the municipal laws of various States may be categorized as follows :

- ***Land-based Taxes***

- (1) Property Tax – by whatever name called
- (2) A Duty on Transfers of Property, in the form of a surcharge on the duty imposed by the Indian Stamp Act, 1899
- (3) Street Tax (in Mumbai only)

- ***Taxes/Service Charges on Government Properties***

- (4) Provisions as made in the municipal laws
- (5) Provisions made under various Port Trust Acts and under the Railways (Local Authorities Taxation) Act, 1941
- (6) Service Charges as levied under orders of the Union Ministry of Finance

- ***Taxes related to Services or Performance of Statutory/Regulatory Roles***

- (7) Water tax
- (8) Water Benefit Tax (in Mumbai only)
- (9) Sewerage Tax (or Sanitary Tax or Cess, Latrine Tax, Drainage Tax, etc.)
- (10) Sewerage Benefit Tax (in Mumbai only)
- (11) Conservancy Tax (or Scavenging Tax)
- (12) Lighting Tax
- (13) Building Tax (in Tamil Nadu and Punjab versus Building Permit Fees in other States)
- (14) Education Tax/Cess
- (15) Fire Tax

- ***Taxes on Businesses, Professions and Entertainments***

- (16) Advertisement Tax
- (17) Tax on Professions, Trades, Callings and Employments
- (18) Theatre Tax or Taxes on Cinemas, Circuses, Carnivals, etc.

- ***Taxes on Entry or Exit of Passengers, Goods and Services***

- (19) Octroi/Entry Tax
- (20) Tax on Pilgrims

(21) Tolls

- **Taxes with a Registration Bias**

(22) Tax on animals, horses, carriages, carts, vehicles excluding motor vehicles, boats, vessels moored at *ghats*, etc.

(23) Tax on dogs

- **Development Levies**

(24) Betterment charges.

Hybrid Forms of Taxes

2. While the scope for charges by local governments remains limited, many of them pursue a hybrid form of cost recovery in the form of property tax-linked benefit taxes – such as water benefit tax, education cess, conservancy surcharge etc. as levied on the property tax base. Such taxes, cesses, surcharges are not wholeheartedly resented and are useful in situations where user charges are difficult to implement, such as those involving installation of water meters for millions of households. A subsequent section would deal with the issues relating to all above.

3. The practice of ‘piggy-backing’ local taxes on national or state taxes appears to exist in some States. This is a form of shared taxation in which surcharges are placed on national or state taxes. The advantages are that a portion of the local revenues gets linked to the more buoyant tax sources; and, of course, there are substantial savings in administration of such taxes.

Shared Taxes

4. Another category consists of the tax instruments for which the powers for levy and collection of taxes may be assigned to the State Governments but whose proceeds may be fully or partly assigned to the Municipalities, may be on a differential basis in relation to the proposed 3-tiers of the Municipalities, namely, the Municipal Corporations, the Municipal Councils and the *Nagar Panchayats*, and/or to the *Panchayats* covered under the 73rd Constitution Amendment Act.

5. There may be other tax instruments which may be partly exploited by the State Governments and partly may be shared with the Municipalities at the three levels and the *Panchayats*.

Taxes as Levied in Various States

6. The powers for taxation as enshrined in the Municipal Acts of Bombay, Bombay Provincial Municipal Corporations, Calcutta, Tamil Nadu Urban Local Bodies, Punjab, Karnataka Municipal Corporations, Hyderabad, Madhya Pradesh Municipal Corporations, besides the Municipalities in Maharashtra, West Bengal, Punjab, Karnataka, Andhra Pradesh and Madhya Pradesh are presented in Tables 1 and 2 respectively at the end of this *Annex*.

- **Land Based Taxes**

- *Property Tax* is levied in the style of *general tax* in Bombay and in Provincial Municipal Corporations in Maharashtra; as a *consolidated rate* in Calcutta; and as a *tax on lands and buildings* in Punjab, Karnataka, Hyderabad and Madhya Pradesh Municipalities
- *Duty on transfer of Property* is levied in Tamil Nadu, Hyderabad, besides additional stamp duty in Karnataka.

- **Taxes related to Services**

- *Water tax* is levied in Bombay and Provincial Municipal Corporations and Municipalities in Maharashtra, Tamil Nadu, Karnataka (as water tax or water charge), Hyderabad, Madhya Pradesh, besides a *water benefit tax* in Bombay
- *Sewerage tax* is levied in Bombay, Tamil Nadu, Hyderabad and Madhya Pradesh (as drainage tax), besides a *sewerage benefit tax* in Bombay

- *Conservancy tax* is levied in Bombay Provincial Municipal Corporations, Punjab (as a scavenging tax), Hyderabad and Madhya Pradesh (as a latrine or conservancy tax)
 - *Education tax/cess* is levied in Bombay, Tamil Nadu and Maharashtra Municipalities
 - *Fire tax* is levied in Punjab and in Madhya Pradesh
 - *Lighting tax* is levied in Hyderabad and Madhya Pradesh.
- ***Taxes on Businesses, Professions and Entertainments***
 - *taxes on professions, trades, callings and employments* are levied in Calcutta and Madhya Pradesh
 - *advertisement tax* is levied in Calcutta, Tamil Nadu, Punjab, Karnataka, Hyderabad and Madhya Pradesh
 - *theatre tax* is levied in Bombay, Bombay Provincial Municipal Corporations; Maharashtra Municipalities; Punjab (where it is called a show tax), Hyderabad (where it is called a tax on entertainment) and Madhya Pradesh Municipal Corporations.
- ***Taxes on Entry or Exit of Passengers, Goods and Services***
 - *Octroi* is levied in Bombay, Bombay Provincial Municipal Corporations; Maharashtra Municipalities; Punjab, Hyderabad and Madhya Pradesh
 - *Pilgrim tax* is levied in Maharashtra Municipalities and in Madhya Pradesh Municipal Corporations.
- ***Tolls*** are levied in Bombay Provincial Municipal Corporations (on animals and vehicles entering the city), Calcutta (Howrah Bridge Tax), Tamil Nadu, Punjab and Karnataka Municipal Corporations and Municipalities.
- ***Taxes with a Registration Bias***
 - *taxes on vehicles and animals* are levied in Bombay, Bombay Provincial Municipal Corporations, Maharashtra Municipalities, Calcutta (on carts and carriages), West Bengal Municipalities, Punjab, Hyderabad (the Act also covers boats), Andhra Pradesh Municipalities and Madhya Pradesh (in addition to a toll)
 - *tax on dogs* is levied in Bombay, Hyderabad and Madhya Pradesh.

II. User Charges

7. User charges have numerous extremely desirable political, economic and administrative implications. Thus :
- (1) there being a direct *quid pro quo* for the service offered, on the one hand, there is a willingness to pay; on the other hand, the non-beneficiaries are not required to pay unnecessarily, thereby enhancing the political acceptability of this means of local finance
 - (2) since failures to pay can be followed by termination of service, collections are facilitated and cash flows can be better managed
 - (3) since services are rationed out economically, wastages are eliminated
 - (4) administrations have to be more responsive to the consumer problems, and more responsible for monitoring the cost effectiveness of the organizations involved, and of the efficiency of the service delivery

- (5) institutional financing from non-budgetary sources becomes easier, and
- (6) these charges do not run the risk of pre-emption by higher levels of government.

Selection of Municipal Services for Levy of User Charges

8. Among the issues related to user charges, the first issue pertains to a choice in the Indian context of municipal services which may be amenable to levy of user charges.

The nature of some municipal services, however, limits the user charges to the extent that many public goods and services are also involved.

As pointed out above, user charges, by definition, imply the exclusion of those unwilling or unable to pay. For many of the recurrent municipal services provided by the local governments, exclusion is politically and administratively impractical. The benefit of maintenance of public streets or drainage systems, for example, may not be confined only to those willing to pay a charge.

Some other functions, though theoretically chargeable, are better financed through taxes, for reasons of policy. Charging for primary education or community health or environment protection measures, for example, runs the risk of discouraging the use of these services, which is not desirable in the national interest.

9. Levy of user charges in respect of services offered by Municipalities in India is a matter of recent concern only. Accordingly, there are not too many enabling provisions in the existing municipal laws. The noteworthy exceptions, however, are there. Thus :

- (1) The Maharashtra, Karnataka and Andhra Pradesh Acts have enabling provisions for levy of water charges and sewerage charges in lieu of water tax, sewerage tax and, in case of Bombay, water benefit tax and sewerage benefit tax.

The issue in this regard, however, is as to the base correlated to which such taxes are levied. As argued earlier, correlation of the same to the property tax base is not helpful from the point of view of cost recovery.

Also, the proposed practice in Calcutta where this tax is correlated to the “ferrule sizes” which, in turn, are correlated to annual values as determined for levy of property tax, is not correct.

- (2) In most municipal laws in India, provisions exist for levy of rents/charges for use of any stall, shop, slaughterhouse, burning *ghat* or crematorium. In Karnataka, provisions exist for charging fees for use of public halting places, cart stands, cattle sheds, public bath houses, etc.
- (3) Wherever transport and electric supply are provided by the Municipalities, provisions exist for levying charges for the same.

10. The Calcutta Municipal Corporation Act, 1980, while providing for levy of user charges for water supply, sewerage and drainage and disposal of solid wastes makes a distinction between charges levied for *residential* and *non-residential* purposes.

Section 238 of this Act, defines the non-domestic purpose for use of water to include, *inter alia*, water used for washing of animals kept for sale or hire, trade, manufacture or business, fountains or swimming pools, building purpose and for washing cards, carriages and vehicles.

11. Calcutta Municipal Corporation now collects charges for washing of vehicles, at the time of payment of Motor Vehicles Tax, a charge of Rs.50 per annum in case of cars and Rs.75 in case of other larger vehicles.

12. Also, the relevant provisions in the Act specify that in the case of water supply, charges shall be calculated having regard to the cost of operation, maintenance, depreciation, interest payments and other costs including those for distribution losses, if any.

III. Municipal Licenses and Licences in Relation to Performance of Statutory and Regulatory Functions

13. Among the licensing functions performed by the Municipalities are -

- (1) *licensing of various categories of professionals* such as architects, plumbers and surveyors
- (2) *licensing of various activities* such as sinking of tube wells, sale of meat, fish and poultry or hawking of articles
- (3) *licensing of spaces* such as the advertisement spaces or of premises used for private markets, slaughterhouses, hospitals, nursing homes, clinics, factories, warehouses, godowns, goods transport depots, eating houses, lodging houses, hotels, theatres, cinema houses and places of public amusement and for other non-residential uses, and
- (4) *licensing of animals, vehicles, carts or birds.*

Each of such municipal licenses attract fees, and fines, if need be.

Replacement of Some Taxes by Municipal Licenses

14. To the above mentioned list could be added the issue of licenses in replacement of taxes in such cases where taxes have a registration bias.

Performance of Statutory and Regulatory Functions

15. Provisions exist in all municipal laws for levy and collection of fees for performance of various *statutory and regulatory functions* by the Municipalities such as for sanctioning building plans, issue of birth and death certificates, etc.

Some innovations in Calcutta Act are : differentials in Building Permit Fees levied for residential and non-residential uses, levy of stacking charges for building materials which are payable along with the Building Permit Fees which was introduced in Bangalore also, heavy fines for conversion of approved land uses, on a recurring basis; etc.

16. As regards the additional regulatory functions, there are numerous provisions in the municipal laws for regulation of land uses. In the Calcutta Act, a whole new Chapter deals with Municipal Licenses which are issued in respect of non-residential uses of various premises.

Thus, the Calcutta Act provides for permissions for use of premises as hospitals, nursing homes, clinics, factories, warehouses, godowns, goods transport depots, eating houses, lodging houses, hotels, boarding houses, tea shops, cafes, restaurants, toddy shops, pan shops, theatres, cinema houses and places of public amusement, markets and other non-residential uses.

In this regard, it may be debated whether taking out of a municipal license for any activity which requires a license under any other law for the time being in force can be made a precondition, such as under the Factories Act, the Shops and Establishment Act, the Cinematograph Act, the Pollution Act or for any other Act for that matter.

The areas of conflict are, however, there as in many States, the police authorities also exercise the licensing powers. *This aspect calls for further analysis and studies.*

Parking Fee

17. Section 355 of the Calcutta Act empowers the Municipal Commissioner to close any portion of a public street and declare it as a fee parking area.

Parking fees are collected by cooperatives selected on the basis of bids for specified areas. The rates are, however, fixed by the Corporation and different rates are specified, for different vehicles, for different areas, and for different parking durations.

Exploitation of Full Potential

18. It needs to be considered whether the full potential of statutory and regulatory fees is being exploited by the Municipalities in India.

Table 1

**Powers for Taxation in Municipal Corporations in
Maharashtra, West Bengal (Calcutta), Tamil Nadu, Punjab, Karnataka, Andhra Pradesh and Madhya Pradesh**

Bombay Municipal Corporation Act, 1888 <i>Sections 139 & 191A</i>	Bombay Provincial Municipal Corporations Act, 1949 <i>Sections 127 & 129</i>	Calcutta Municipal Corporation Act, 1980 <i>Sections 170, 210, 210A, 210B & 211</i>	Tamil Nadu Urban Local Bodies Act, 1998 <i>Sections 80 & 95</i>
1. property taxes which include - - water tax - water benefit tax - sewerage tax - sewerage benefit tax - a general tax - education cess - street tax - betterment charges 2. a tax on vehicles and animals 3. a theatre tax 4. octroi 5. tax on dogs	1. property taxes consisting of - a water tax - a conservancy tax - a general tax 2. a tax on vehicles, boats and animals 3. octroi 4. a tax on dogs 5. a theatre tax 6. a toll on animals and vehicles entering the city 7. any other tax not being a tax on professions, trades, callings and employment	1. a consolidated rate on lands and buildings 2. a tax on advertisements other than the advertisements published in newspapers 3. a toll 4. a tax on carts 5. a tax on carriages 6. toll on roads 7. levy of surcharge on transfer of lands 8. levy of special conservancy charge 9. Howrah Bridge tax	1. property tax - basic property tax for the building and land - additional basic property tax for every building with reference to its location - additional basic property tax for every building with reference to its type of construction 2. water tax 3. sewerage tax 4. education tax 5. advertisement tax 6. a duty on transfer of property 7. tolls on road or bridge

Punjab Municipal Bill, 1999 <i>Section 174</i>	Karnataka Municipal Corporations Act, 1976 <i>Sections 103 & 140</i>	Hyderabad Municipal Corporation Act, 1955 <i>Sections 197, 199 & 248</i>	Madhya Pradesh Municipal Corporation Act, 1950 <i>Section 132</i>
1. a tax on lands and buildings	1. a tax on buildings or lands or both situated within the city (referred to as property tax)	1. taxes on lands and buildings including - - a general tax - a water tax - a drainage tax - a lighting tax - a conservancy tax Aggregate not less than 15% and not more than 30%	1. a tax on buildings and lands 2. a water tax 3. a general sanitary cess 4. a general lighting tax 5. a general fire tax 6. a local body tax 7. a latrine or conservancy tax 8. a drainage tax 9. a tax on persons exercising any profession or art or currying on any trade or calling within city
2. a scavenging tax	2. a toll on vehicles other than motor vehicles paying vehicles tax under the Karnataka Motor Vehicles Taxation Act, 1957, entering the corporation limits	2. octroi	10. a tax payable by the owners on all or any vehicles or animals used for riding, driving draught or burden or on dogs, where such vehicles, animals or dogs are used within the city, whether they are actually kept within the city or not
3. an octroi	3. a tax on advertisements	3. taxes on vehicles	11. a toll on vehicles and animals
4. a tax on advertisements other than advertisements published in newspapers	4. a duty on certain transfers of property in the shape of an additional stamp duty	4. taxes on animals and boats	12. fees on the registration of cattle sold within the city
5. a fire tax	5. a water-rate or water-rates for water supplied by the Corporation which may be imposed in the form of a tax assessed on buildings and lands, or in any other form, including that of charges for such supply	5. taxes on advertisements other than advertisements published in the newspapers	13. market dues on persons exposing goods for sale in any market or in any place belonging to or under control of the government or of the corporation
6. a toll on roads and bridges	6. additional stamp duty	6. a tax on transfer of immovable property in the form of surcharge on stamp duty	14. a betterment tax
7. a show tax		7. tax on entertainment	15. a tax on pilgrims
8. a tax on vehicles and animals		8. a tax not exceeding rupees ten per annum on every dog	16. a tax on persons occupying houses, buildings or lands within the limits of the corporation
			17. a toll on new bridge
			18. a tax on advertisements other than advertisements published in newspapers
			19. a tax on theatres, theatrical performances and other shows for public amusement
			20. a terminal tax on goods or animals exported from the limits of the corporation

Table 2

**Powers for Taxation in Municipalities in
Maharashtra, West Bengal, Tamil Nadu, Punjab, Karnataka, Andhra Pradesh and Madhya Pradesh**

Maharashtra Municipalities Act, 1965 <i>Sections 105, 108, 108A & 147A</i>	West Bengal Municipal Act, 1993 <i>Section 93</i>	Tamil Nadu Urban Local Bodies Act, 1998 <i>Sections 80 & 95</i>	Punjab Municipal Bill, 1999 <i>Section 174</i>
1. a consolidated property tax which shall include - - general tax - general water tax - lighting tax - general sanitary tax - special latrine tax 2. an octroi 3. a tax on cinemas, theatres, circuses, carnivals news- and other performance and shows 4. a tax on advertisements other than advertise- ments published in the newspapers 5. a fire tax 6. a tax on all vehicles excluding motor vehicles, boats or animals used for riding whether they are actually kept within or outside such area 7. a tax on vehicles and animals entering the municipal area but not subject to taxation as aforesaid 8. a tax on dogs kept within the municipal area 9. a special sanitary tax upon private latrines, premises or compounds cleansed by municipal agency 10. a drainage tax 11. a special water tax 12. a tax on pilgrims resorting periodically to a shrine within the limits of the Council 13. a special education tax 14. any other tax, not being a tax on professions, trades and callings 15. a parking fee for the parking of vehicles on public streets and places 16. a fee for the use of public streets and pavement spaces 17. a surcharge on stamp duty	1. a property tax on lands and buildings 2. a tax on advertisements, other than advertisements published in the newspapers 3. a tax on cart 4. a tax on carriage 5. toll on ferries and bridges	1. property tax - basic property tax for the building and land - additional basic property tax for every building with reference to its location - additional basic property tax for every building with reference to its type of construction 2. water tax 3. sewerage tax 4. education tax 5. advertisement tax 6. a duty on transfer of property 7. tolls on road or bridge	1. a tax on lands and buildings 2. a scavenging tax 3. an octroi 4. a tax on advertisements other advertisements published in papers 5. a fire tax 6. a toll on roads and bridges 7. a show tax 8. a tax on vehicles and animals

Karnataka Municipalities Act, 1964 <i>Section 94</i>	
1.	a tax on buildings or lands or both including a water supply cess
2.	a toll on vehicles specified in Schedule III entering the Municipality but not liable to taxation as specified in the following clause
3.	a tax on all or any vehicles (other than motor vehicles), boats or animals used for riding, draught or burden
4.	a water-rate or water-rates for water supplied by municipal council imposed in the form of a tax assessed on buildings and lands or in any other form including in the form of charges for such supply
5.	a lighting tax
6.	a duty on transfer of immovable property in the shape of an additional stamp duty
7.	a tax on advertisements other than advertisements published in the newspapers

Andhra Pradesh Municipalities Act, 1965 <i>Sections 81, 82, 85, 103, 113, 114 & 121</i>	
1.	a property tax consisting of - - a tax for general purposes - a water and drainage tax - a lighting tax - a scavenging tax
2.	a tax on carriages and carts
3.	a tax on animals
4.	a tax on advertisements
5.	a duty on certain transfers of property in the form of a surcharge on the duty imposed by the Indian Stamp Act, 1899

Madhya Pradesh Municipalities Act, 1961 <i>Section 127</i>	
1.	a property tax
2.	a water tax
3.	a general sanitary cess
4.	a general lighting tax
5.	a general fire tax
6.	a local body tax on the entry of such goods as may be declared by the State Government
7.	a latrine or conservancy tax payable by the occupier or owner upon private latrines, privies or cesspools or open premises or compounds cleansed by council agency
8.	a drainage tax, where a system of drainage has been introduced
9.	a tax on persons exercising any profession or art or carrying on any trade or calling within the city
10.	a tax payable by the owners on all or any vehicles or animals used for riding, driving draught or burden or on dogs, where such vehicles, animals or dogs used within the city, whether they are actually kept within the city or not
11.	a toll on vehicles and animal

